

Housing Market Analysis in Hungary

A policy-relevant data analysis portfolio project

Prepared for a data analyst / policy-oriented portfolio

Built exclusively from official KSH and MNB publications

What the project shows	Why it matters
Housing prices re-accelerated after the 2023 slowdown.	Shows that the market is still in a strong cyclical phase, not a one-off spike.
Demand recovered, but unevenly across cities and regions.	A good entry point for policy and market segmentation analysis.
Supply stayed weak: completions and permits fell in 2024.	Supports the narrative of structural imbalance.
Wages grew, but prices still outpaced them and MNB estimated overvaluation.	Adds an affordability and policy dimension, which is useful for think-tank or public-policy paths.

Executive summary

- Using official KSH and MNB releases, the project shows that Hungarian housing prices fell back in 2023 but re-accelerated in 2024 and remained elevated in early 2025.
- The demand side recovered from the 2023 slump, but activity was uneven: national transactions rose, while Budapest and county-seat sales were weaker in Q1 2025.
- Supply remained constrained. In 2024, completed dwellings fell by 29% and building permits by 27%, while the domestic housing stock renewal rate reached only 0.29%.
- Affordability worsened: average gross earnings rose by 13.2% in 2024, but MNB still estimated 14.3% overvaluation in 2024 Q4.

1. Research question and portfolio angle

Research question: how have Hungarian housing prices evolved in the last few years, and how do those changes compare with demand, supply and income growth? This is a strong portfolio topic because it combines data cleaning, descriptive analysis, macroeconomic interpretation and policy relevance.

2. Data sources and method

Only official sources were used:

- KSH housing price index releases (Q3 2022, Q4 2023, Q1 2024, Q2 2024, Q3 2024, Q1 2025).
- MNB Housing Market Report - May 2025.
- KSH Hungary 2024 annual statistical summary for earnings.

Methodology in short:

- Selected the most policy-relevant indicators from the official releases.
- Compiled them into a single project dataset.
- Compared price growth, turnover / transactions, supply-side indicators and earnings.

3. Key indicators

Indicator	Value	Period	Source
Overall housing market price growth	5.8% y/y	2023	KSH Q4 2023
Overall housing market price growth	12.5% y/y	2025 Q1 (KSH)	KSH Q1 2025
Overall housing market price growth	15.1% y/y	2024 Q4	MNB May 2025
Budapest housing price growth	19.2% y/y	2025 Q1	MNB May 2025
Transactions nationwide	+7% y/y	2025 Q1	MNB May 2025
Completed dwellings	13,300 (-29%)	2024	MNB May 2025
Building permits	20,500 (-27%)	2024	MNB May 2025
Average gross earnings	HUF 646,600 (+13.2%)	2024	KSH Hungary 2024
Housing overvaluation	14.3%	2024 Q4	MNB May 2025

4. Findings

4.1 Prices re-accelerated

KSH reported that the overall housing market price level was 5.8% higher in 2023 than a year earlier. By Q4 2024, MNB reported 15.1% annual growth nationwide, and KSH estimated 12.5% annual growth in Q1 2025.

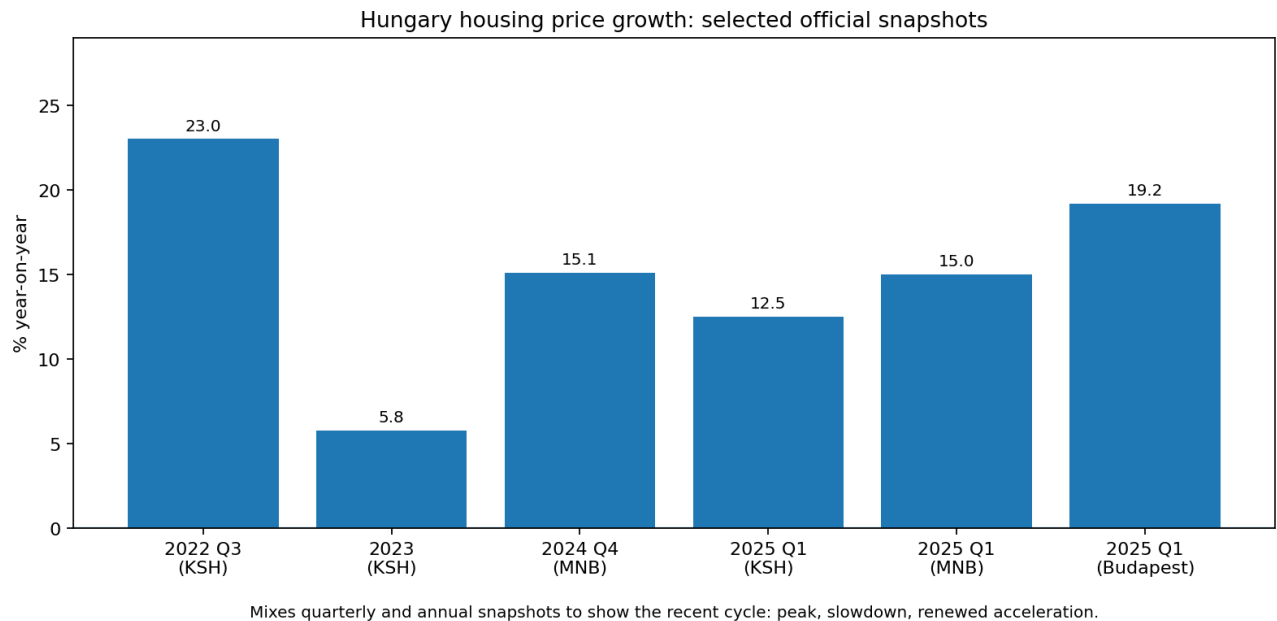


Figure 1. Selected official snapshots of Hungarian housing price growth.

4.2 Demand recovered, but in a segmented way

After the 2023 decline in turnover, sales and transactions recovered in 2024 and early 2025. MNB reported that Q1 2025 transactions were up 7% year on year nationwide, but KSH noted declines in Budapest and county seats. This is a useful pattern for a portfolio project because it shows that a single national trend can hide large regional differences.

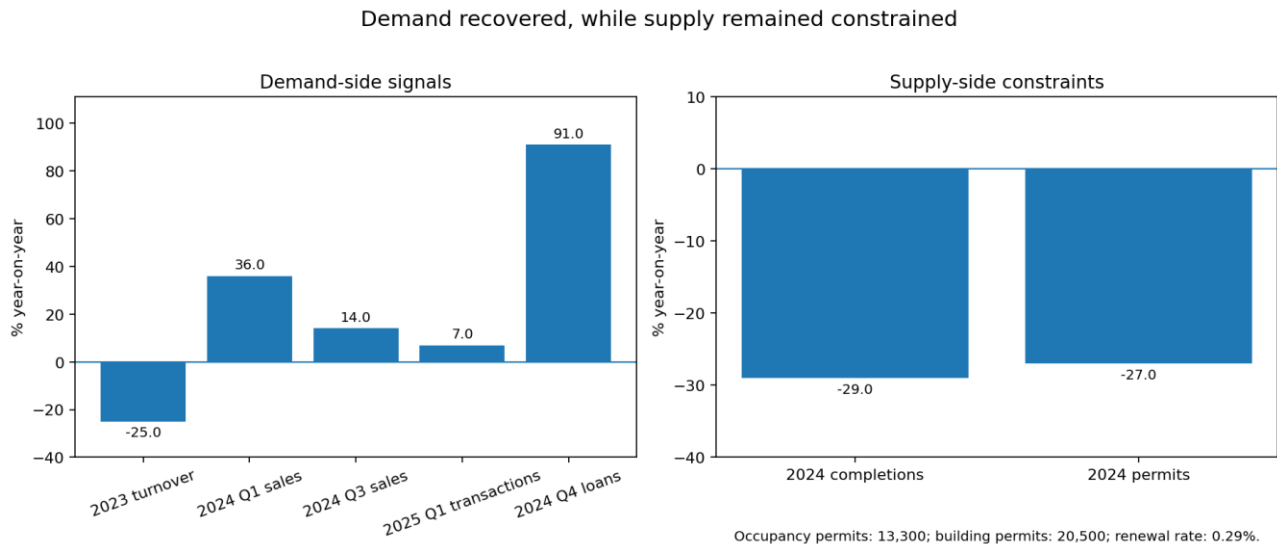


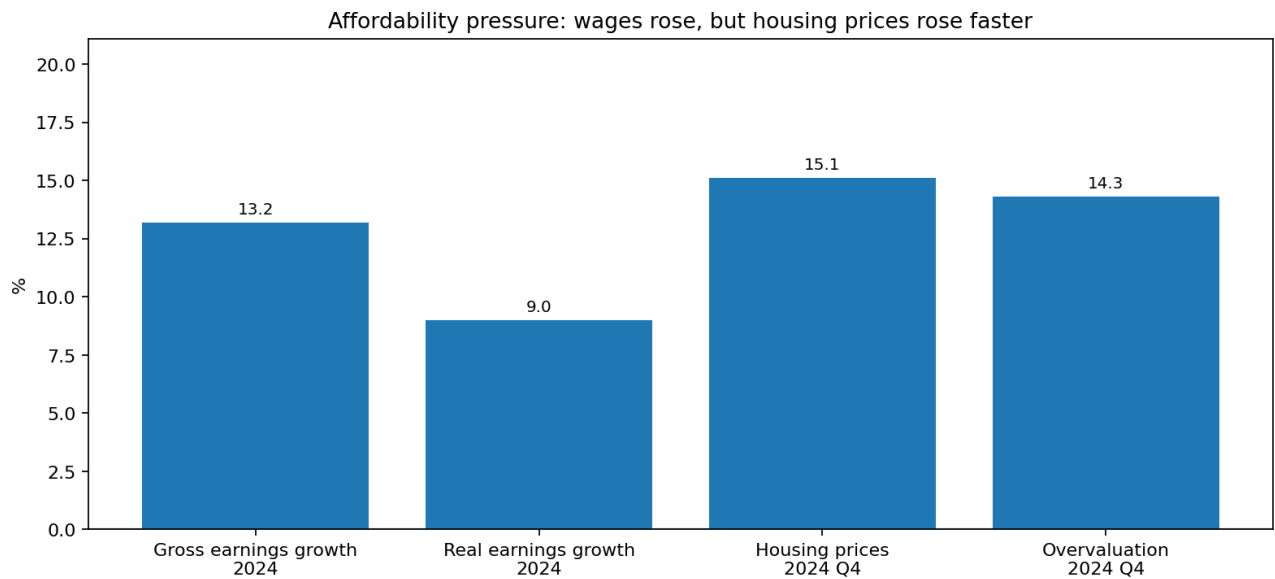
Figure 2. Demand recovered while supply stayed constrained.

4.3 Supply lagged behind demand

MNB reported 13,300 completed dwellings in 2024, down 29% from 2023, and 20,500 building permits, down 27%. The domestic housing stock renewal rate was only 0.29%, the lowest in Europe according to the report.

4.4 Affordability remained under pressure

KSH reported average gross earnings of HUF 646,600 in 2024, up 13.2% year on year, and real earnings up 9.0%. Even so, MNB estimated that housing prices exceeded the level justified by fundamentals by 14.3% in 2024 Q4.



KSH reported average gross earnings of HUF 646,600 in 2024; MNB estimated 14.3% overvaluation in 2024 Q4.

Figure 3. Wages improved, but housing prices still moved faster.

5. Interpretation

- The market is driven by a combination of recovering demand, constrained supply and still-strong affordability pressure.
- This gives the project a clear policy angle: housing is not only a market story, but also a public policy and social issue.

6. Reproducibility

The project folder also contains:

- a CSV file with the official snapshot data used in the analysis
- a Python script that regenerates the charts
- the rendered report in DOCX format

7. Official source list

- KSH - Housing prices, housing price index, Q3 2022.
- KSH - Housing prices, housing price index, Q4 2023.
- KSH - Housing prices, housing price index, Q1 2024.
- KSH - Housing prices, housing price index, Q2 2024.
- KSH - Housing prices, housing price index, Q3 2024.
- KSH - Housing prices, housing price index, Q1 2025.
- KSH - Hungary, 2024 (annual earnings).
- MNB - Housing Market Report - May 2025.